

Financial Accounting

BCA — Semester II — 2019 — Answer Sheet

Subject Code:

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Group B

2. Following cash and bank transactions of a month are given to you,
1 Balance of cash Rs 30,000 and bank 40,000.
2 Purchased goods for Rs 15,000, paid Rs 5,000 on cash and the balance through cheque after allowing a discount of Rs 500.
15 Rent received Rs 12,000.
22 Sales of goods at Rs 21,000, received Rs 5,000 on cash and the balance through cheque after the deduction discount of Rs 1,600.
27 Deposited cash into the bank Rs 10,000
Required: Cash book with cash and bank column.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. Following information are given to you
On 30th Chaitra, the cash book showed debit balance Rs. 16,000.
• Cheque sent for collection of Rs 5,000 but credited by bank only Rs 2,000.
• Cheque issued of Rs 4,000 but not presented at bank.
• Bank interest of Rs 1,000 has been collected by bank but not recorded in cash book.
• Service charge of Rs 200 shown in pass book only.
• A debtor directly deposited Rs 2,000 into bank.
Required: Bank Reconciliation Statement

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. The transactions related to machinery are as under
01.07.2015 Purchased a machinery for Rs. 60,000.
01.01.2016 Purchased machinery for Rs. 40,000.
30.06.2019 Sold machinery purchased on 2015 for Rs. 48,235 and purchased next machinery Rs. 20,000.
Accounts are closed on 31 December and rate of depreciation: 10%
Required: Machinery account for three years under reducing balance method

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. Stores transaction during the month Magh are as under
Purchased
Magh 1: Opening balance: 500 units @ Rs 10 per unit
Magh 4: 600 units @ Rs 11 per unit
Magh 9: 600 units @ Rs 12 per unit
Magh 20: 800 units @ Rs 12 per unit
Issued:
Magh 7: 500 units
Magh 15: 500 units
Magh 25: 400 units
Stock verification loss
Magh 28: 20 units
Required: Store ledger unit FIFO method.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. Define accounting. Mention any three objective of accounting.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. What are the various user of accounting information? Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. Differentiate between Going concern concept and Business entity concept.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Group C

Attempt any TWO questions[2x10=20]

9. Following transactions are provided to you :
01 March Started business with cash Rs 2,00,000.
04 March Deposited cash into bank Rs 50,000.
13 March Purchased goods from creditors for Rs. 80,000 and paid cash only 30,000.
17 March Sold goods on cash Rs 1,00,000.
20 March Paid salary Rs 15,000 through cheque.
23 March Received interest Rs 10,000.
30 March Paid to creditors cash Rs 18,000 and received discount Rs 2,000.
31 March Returned goods to creditors of Rs 5,000.
Required: Journal Entries and Creditors' Account.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. The following is the trial balance of business as on 31st December 2017.

Particulars	Dr. Amount	Cr. Amount
Opening stock	18,000	
Sales		2,20,000
Purchases	71,000	
Return outwards	1,500	
Return inwards		1,000
Loan	20,000	
Wages	11,000	
Bills payable		2,500
Carriage on purchase	2,500	
Capital		40,000
Printing and stationery	3,000	
Discount received		1,000
Salaries	2,800	
Insurance expenses	8,000	
Plant & machinery	120,000	
Debtors	10,500	
Cash at bank		11,600
Rent expenses	6,600	
Drawings	3,000	
Furniture	22,000	
Total	2,85,000	2,85,000

Additional information: Closing stock is valued at Rs. 25,000. Depreciation on plant & Machinery @ 15% & on Furniture @ 10%. Outstanding wages Rs. 4,000. Prepaid insurance Rs. 500.
Prepare: a. Trading account b. Profit and loss Account c. Balance sheet as on 31st December 2019

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

11. Define company. Differentiate between private and public company.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.